BERNSTEIN
SOCIETE GENERALE GROUP

14 July 2026

Payments, Processors & IT Services

FISV, FIS, GPN: What is the 'true' multiple?

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FIS, FISV and GPN are currently trading at 6.4x/6.0x/5.1x NTM PE multiple, near their lowest levels in history (also see our note). As such, investors appear to be taking a fresh look at the names. It is, however, a bit challenging to assess the 'true' multiples for the stocks given the earnings adjustments (which have historically been more recurring in nature), lower FCF conversion, high leverage and very low 'adj' tax rates. In this note, we present our updated earnings quality analysis, and present what we believe are clean EV/NOPAT multiples (we find EV/NOPAT a better metric vs. P/E given the leverage) across the 3 names. We also discuss potential for buybacks and capital returns.

When adjusted for earnings quality and tax rates, we see several turns of differences between clean and reported multiples. While the multiples are abysmally low on non-GAAP 2026 EPS (FIS 6.7x, FISV 6.3x, GPN 5.6x), they are several turns higher on clean EV/NOPAT (FIS 14.3x, FISV 10.8x, GPN 11.3x). We note that 2027 analysis gets a bit trickier because we have to make a fair bit of assumptions on 'adjustments'. Our estimates for 2027 clean EV/NOPAT multiples include ~13x for FIS, ~10x for FISV and ~10x for GPN vs. non-GAAP PE (on consensus adj. numbers) of ~6x for FIS, ~6x for FISV and ~5x for GPN.

We see clean earnings as a % of non-GAAP earnings at **77%/76% for FIS, 94%/75% for FISV, and 75%/71% for GPN in 2025/1Q26, respectively**. On Clean FCF conversion, we estimate 53%/64% conversion for FIS, 90%/12% for FISV and 67%/-50% for GPN in FY2025 and 1Q26, respectively. We do note that FIS started reporting a cleaner version of FCF since late 2025, which is calculated as Cash From Operating Activities - CapEx - true one-time cash outflows.

In our clean earnings definition, we give companies the benefit of adding back the somewhat understandable purchase accounting amortization and true one-offs, but include other expenses e.g. 'transformation costs', often-vague restructuring costs, M&A integration expenses which can continue for several years post a deal (also M&A has been recurring for the companies and not truly one-time). In our clean FCF definition, we similarly exclude true one-offs but add back recurring cash expenses. We also wonder to what extent a low 'adj.' tax rate (e.g., FIS at ~12%/13% in 2026/2027) is sustainable.

Sometimes companies adjust **M&A integration expenses** far beyond what is typically acceptable (several years after a deal closes). **Transformation** has become a major adjustment recently too - e.g. FISV added back >$140mn of transformation expense related to the One Fiserv initiative to adj. net income in 1Q26; GPN added back $96mn in 1Q26 related to the more recent Genius build-out reorg, but we note this is a longer-running add-back covering ongoing internal transformation and GTM realignment initiatives. FIS has been adding back enterprise transformation and platform modernization expenses of $262mn in 2024, $157mn in 2025 and $93m in 1Q26.

More buybacks at these valuation levels? GPN is already doing this. By year-end 2027, GPN (and PayPal) could buy back ~30% of their existing market cap (investors may have to wait longer for FIS and FISV). The complication for FIS and FISV is that they are in the midst of de-leveraging post recent acquisitions. We will do more work on potential for unlocking shareholder value through asset sales (e.g., for FISV). See our recent note on STAR/Accel.

DETAILS

INVESTMENT IMPLICATIONS

Overall, while we acknowledge rock bottom valuation levels across the fintech space (including for FIS, GPN, FISV), we continue to prefer V, MA and Adyen as our favorite ideas.

We rate V, MA, Adyen, Block and Toast OP. We rate Klarna, FISV, FIS, GPN and PYPL MP.

OUR METHODOLOGY AND EXHIBITS

A note on Earnings adjustment methodology:

- We calculate FY25/1Q26 Clean Net Income by taking company reported Non-GAAP Net Income and subtracting adjustments that we deem valid (e.g. merger, integration costs, severance costs, and reorg/transformation costs).
- For calculating clean FCF, we took company reported adj. FCF for FY25 and 1Q26, and removed acquisition and integration expenses and other company specific-adjustments we view as not adjustable.
- For Clean NOPAT calculation, we took Clean Operating Income calculated in a similar way as Clean Net Income, subtracting normalized tax expense assuming 20% tax rate. Adj. NOPAT is calculated as Adjusted Operating Income as reported by companies minus Adjusted Taxes.

EXHIBIT 1: **We see clean earnings as a % of non-GAAP earnings as 77%/76% for FIS, 94%/75% for FISV, and 75%/71% for GPN in 2025/1Q26, respectively**

	FIS		FISV		GPN	
	2025	1Q26	2025	1Q26	2025	1Q26
GAAP Net Income	**908**	**152**	**3,480**	**571**	**1,400**	**(1,800)**
Merger, integration costs	708	167	59	29	332	291
Severance costs	-	-	79	73	-	-
Amortization of acquisition-related intangible assets	669	290	1,304	311	1,367	747
Tax impact of adjustments	(40)	14	(275)	(94)	(97)	1,454
Gain on sale of businesses	18	104	(68)	(83)	(572)	(22)
Unconsolidated affiliate activities	561	11	(11)	9	(69)	5
Transformation	-	-	125	142	406	96
Other	199	(33)	52	-	190	39
Adj. Net Income, reported	**3,023**	**705**	**4,745**	**958**	**2,957**	**809**
(-) Merger, integration costs	708	167	59	29	332	141
(-) Severance costs	-	-	79	73	-	-
(-) Transformation	-	-	125	142	406	96
Clean Net Income	**2,315**	**538**	**4,482**	**714**	**2,219**	**572**
Clean Net Income as % of adj. Net Income	*77%*	*76%*	*94%*	*75%*	*75%*	*71%*
Adj. EPS	**$5.76**	**$1.36**	**$8.64**	**$1.79**	**$12.22**	**$2.96**
Clean EPS	**$4.41**	**$1.04**	**$8.16**	**$1.33**	**$9.17**	**$2.09**

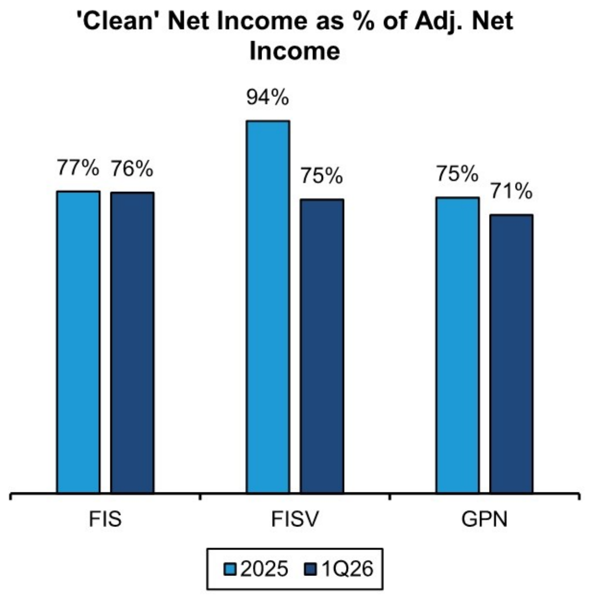
FISV/FIS/GPN: We remove merger, integration and other costs, severance costs and reorganization/transaformation costs from non-GAAP earnings/NOPAT to arrive at clean earnings/NOPAT. **For GPN:** we add back one-time transaction-related costs due to the WP deal closing to clean earnings/NOPAT.
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 2: **FCF conversion has also been been weak even as a % of adj. earnings**

	FIS		FISV		GPN	
	2025	1Q26	2025	1Q26	2025	1Q26
Adj. FCF	**2,166**	**474**	**4,435**	**259**	**3,001**	**544**
(-) Acquisition, integration expenses	563	22	158	46	332	141
(-) Other acqui. and separation adjustments	0	0	-	-	308	719
(-) Transformation	0	0	9	95	382	90
Clean FCF	**1,603**	**452**	**4,268**	**118**	**1,980**	**(406)**
Clean FCF conversion (as % of Adj. NI)	*53%*	*64%*	*90%*	*12%*	*67%*	*-50%*
Adj. FCF conversion (as % of Adj. NI)	*72%*	*67%*	*93%*	*27%*	*101%*	*67%*

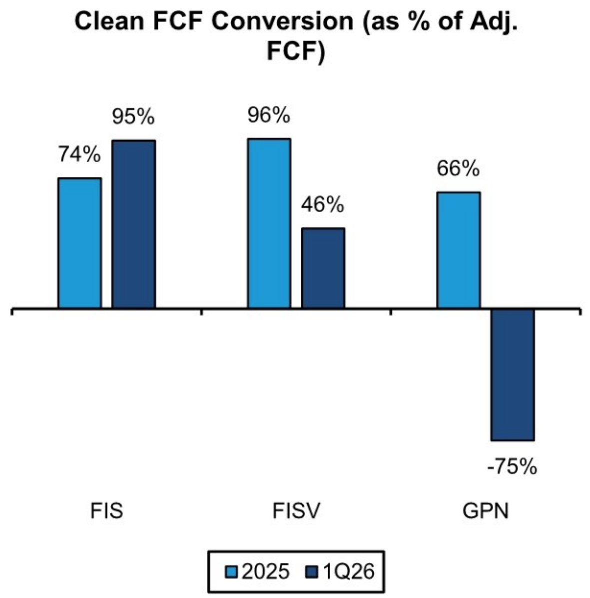
Adjustment calculations: we substract from Adj. FCF acquisition, integration and other expenses, severance and other seperation expenses, and reorg/ transformation expenses to to arrive at clean FCF. **For GPN:** we add back one-time transaction-related costs due to the WP deal closing to clean FCF.
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 3: **For FIS and GPN - clean earnings are consistently 20-30% below adjusted numbers**



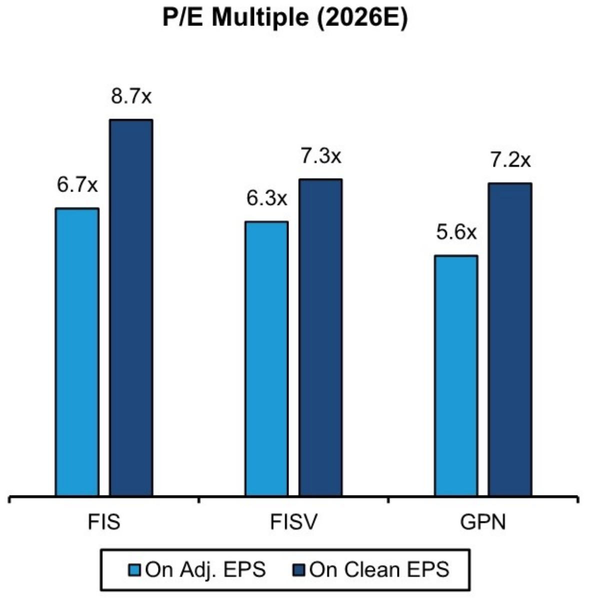
For GPN: we add back one-time transaction-related costs due to the WP deal closing to clean earnings
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 4: **We have been closely watching 'clean' FCF as % of reported adj. FCF**



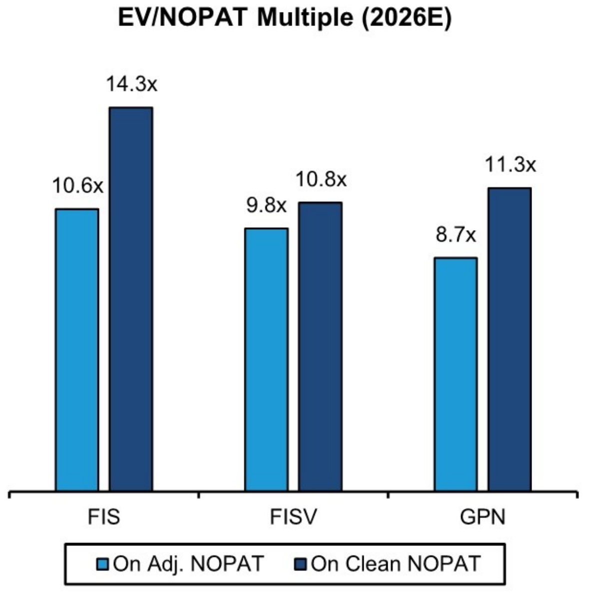
For GPN: we added back one-time transaction-related costs due to the WP deal closing to clean FCF
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 5: **While the multiples are abysmally low on non-GAAP 2026 EPS (FIS 6.7x, FISV 6.3x, GPN 5.6x)...**



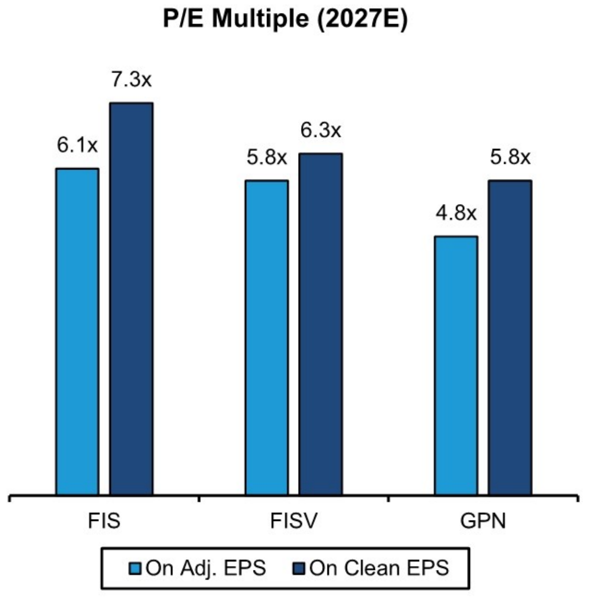
Market data as of 7/13/2026
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 6: **...they are several turns higher on clean EV/ NOPAT (FIS 14.3x, FISV 10.8x, GPN 11.3x)**



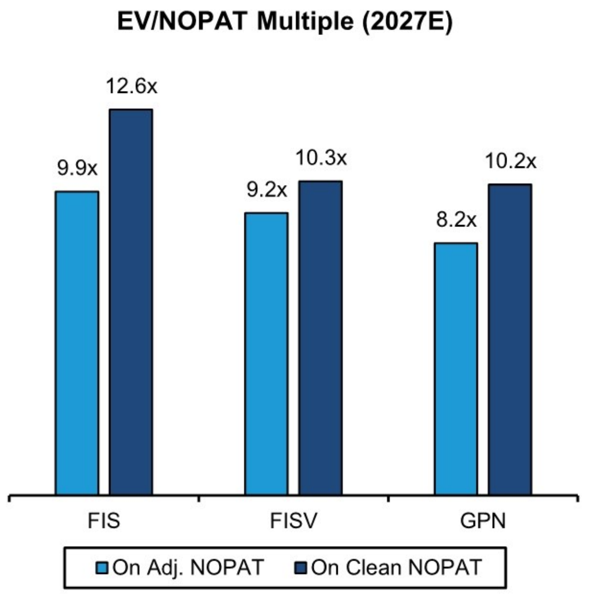
Adj NOPAT is calcualted using reported Adj. Operaing Income - reported Adj. tax expenses; Clean NOPAT is calculated using Clean Operating Income - Taxes assuming normalized 20% tax rate; Market data as of 7/13/2026
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 7: **We note that 2027 analysis gets a bit trickier because we have to make a fair bit of assumptions on 'adjustments'. Our estimates for 2027 PE multiples include 7.3x for FIS, 6.3x for FISV, and 5.8x for GPN**



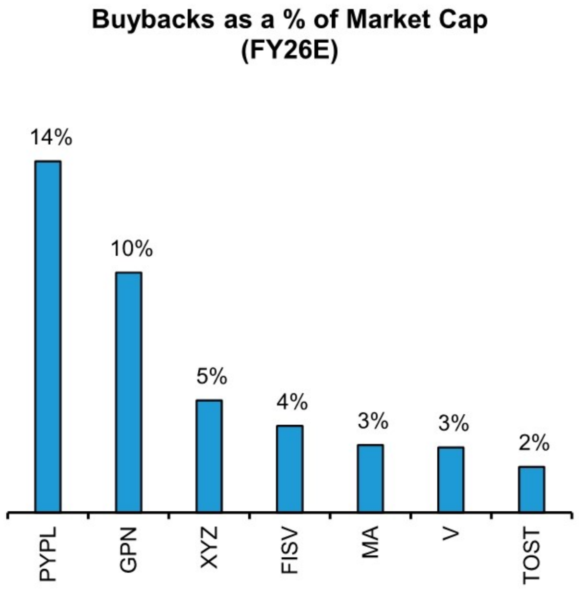
Market data as of 7/13/2026
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 8: **...and clean EV/NOPAT multiples include ~13x for FIS, ~10x for FISV and ~10x for GPN**



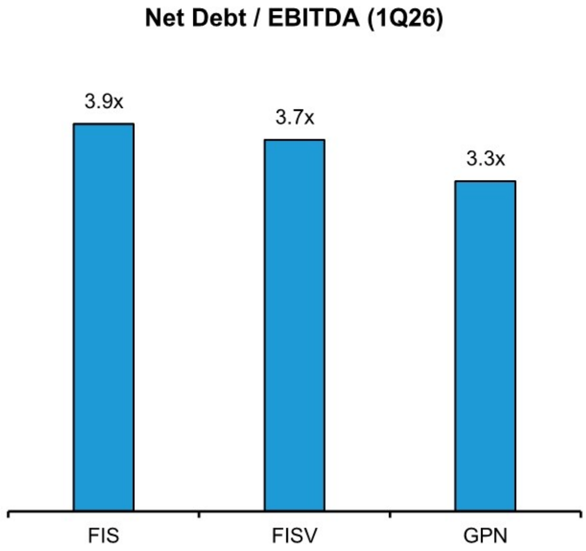
Adj NOPAT is calcualted using reported Adj. Operaing Income - reported Adj. tax expenses; Clean NOPAT is calculated using Clean Operating Income - Taxes assuming normalized 20% tax rate; Market data as of 7/13/2026
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 9: **Many companies (e.g., PYPL and GPN) are already doing aggressive buybacks; FIS and FISV are leverage constrained.**



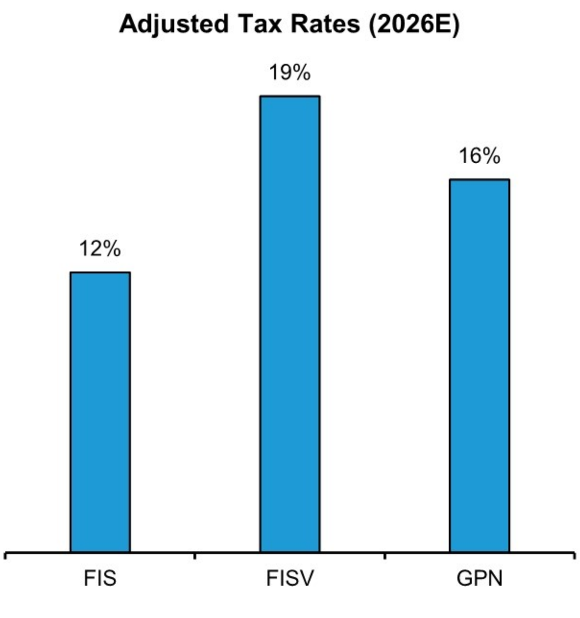
Market data as of 7/13/2026
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 10: **FIS, FISV are in the midst of de-leveraging post recent acquisitions (important for their banking business) - and meaningful buybacks can't happen in the near-term**



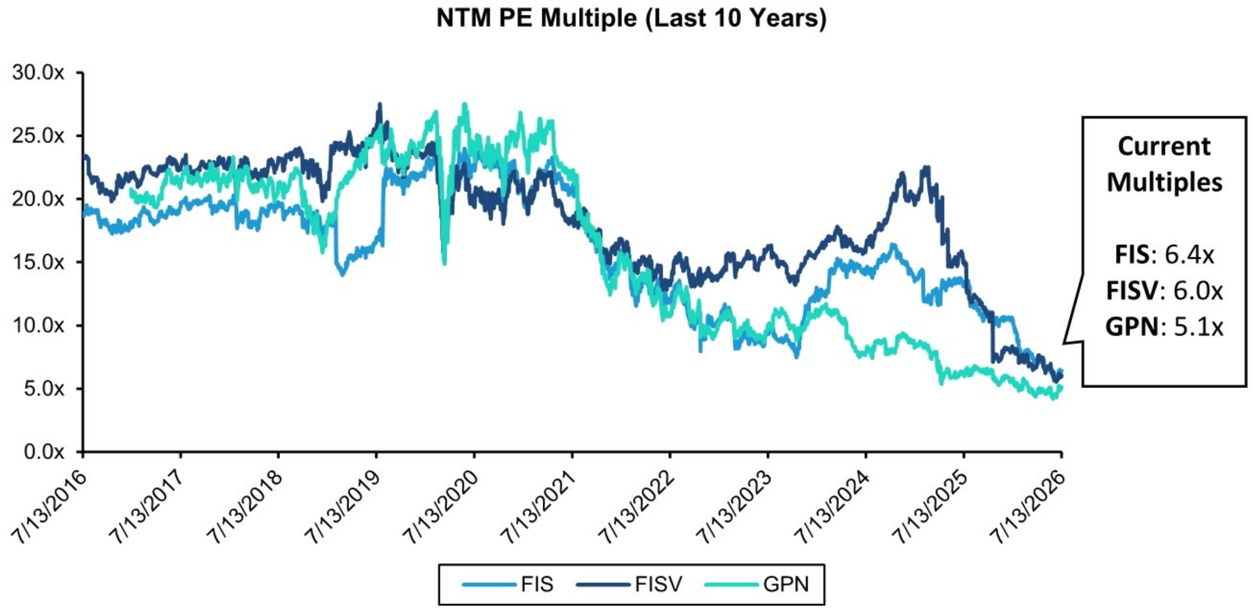
Net Debt = Current portion of long-term debt + long term debt - cash and cash equivalents; EBITDA = 1Q26 Annualized
Source: Company reports, Bernstein analysis

EXHIBIT 11: **We also wonder to what extent a low 'adj' tax rate (e.g., FIS at ~12% in 2026/13% in 2027) is sustainable**



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: **FIS, FISV and GPN are currently trading at 6.4x/6.0x/5.1x NTM PE multiple, near their lowest levels in history**



market data as of 7/13/2026
Source: Bloomberg, Bernstein analysis

PLEASE SEE LINKS TO OUR RECENT RESEARCH:

- Payments: WSJ Reports Large Banks Explore Fiserv Debit Network Deal; Implications for V/MA, Fiserv, Fintechs (July 2026)
- Payments/Fintech: Stocks near 10yr lows – is it time for bold actions? (June 2026)
- US Long View: 2026 Edition (May 2026)
- The Age of Agents: Insights from our Inaugural Agentic Commerce Day (April 2026)
- Payments/Fintech 2026: A year to remember? Top themes and stock ideas (January 2025)
- Payments: Stripe-Stablecoins, Walmart-Open AI, Visa Agent Protocol, Spending Trends. Our perspectives. (October 2025)
- Payments: Ripe for stock-picking? (September 2025)
- Payments: Debit Interchange Ruling; Our thoughts (August 2025)
- Global Payments-Elliott: What can an activist do? (July 2025)
- Payments Primer: Our Slide Deck (June 2025)
- GPN-FIS-Worldpay: The weekend after; does the deal go through? (April 2025)
- Quick Take: GPN-Worldpay - why now (vs. buybacks) and why this price? FIS-Issuer - likely synergistic at an decent price (April 2025)
- Payments: What happens in a recession? (Mar 2025)
- Payments 2025: Key Themes to Watch and Stock Cheatsheets (Jan 2025)

- *Payments: A look at earnings quality and our 'clean' comps table* (Jan 2024)

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	13 Jul 2026 Closing Price	Price Target	TTM Rel. Perf.	Cur	Adjusted EPS 2025A	Adjusted EPS 2026E	Adjusted EPS 2027E	Adjusted P/E (x) 2025A	Adjusted P/E (x) 2026E	Adjusted P/E (x) 2027E
FIS (FIS)	M	USD	41.93	73.00	(66.7)%	USD	5.76	6.30	6.91	7.3	6.7	6.1
FISV(Fiserv)	M	USD	51.18	76.00	(89.1)%	USD	8.64	8.06	8.76	5.9	6.3	5.8
GPN (Global Payments)	M	USD	76.85	86.00	(22.5)%	USD	12.22	13.89	16.13	6.3	5.5	4.8
XYZ (Block Inc)	O	USD	78.72	85.00	0.8%	USD	2,084	3,347	4,700	44.2%	50.2%	32.0%
PYPL (PayPal)	M	USD	47.65	45.00	(53.3)%	USD	5.31	5.23	5.30	9.0	9.1	9.0
MA (Mastercard)	O	USD	537.70	710.00	(22.3)%	USD	17.01	19.82	22.82	31.6	27.1	23.6
TOST (Toast)	O	USD	29.96	39.00	(51.0)%	USD	633.00	802.78	990.80	24.7	19.5	15.8
ADYEN.NA (Adyen)	O	EUR	843.70	1,600.00	(62.1)%	EUR	33.62	42.83	51.05	25.1	19.7	16.5
ADYEY (Adyen)	O	USD	9.44	18.63	(66.6)%	USD	0.39	0.50	0.60	24.1	18.8	15.8
KLAR (Klarna)	M	USD	19.27	20.00	NA	USD	65.1	305.3	461.7	60.4	12.9	8.5
V (Visa)	O	USD	357.75	450.00	(17.2)%	USD	11.47	13.17	15.16	31.2	27.2	23.6
SPX			7,515.34									
EDME			1,592.89									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

XYZ estimate is EBIT (M); TOST estimate is EBITDA (M); KLAR estimate is Adjusted EBIT; XYZ valuation is EBIT CAGR; TOST valuation is EV/EBITDA (x); KLAR valuation is EV/Adj EBIT (x);

Source: Bloomberg, Bernstein estimates and analysis.

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The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
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Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

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Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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- Neutral (N): Stock will perform in line with the market index to within +/-10 pp

- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

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- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

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DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: FIS, Global Payments Inc, PayPal Holdings Inc, Mastercard Inc, Toast Inc, Adyen NV and Visa Inc.

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FIS, Fiserv, Global Payments Inc, Block Inc, PayPal Holdings Inc, Mastercard Inc, Toast Inc, Adyen NV, Klarna Group plc and Visa Inc are covered by both the Autonomous and Bernstein brands. For the research ratings and price target history please go to https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action.

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